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Nu Holdings Ltd (NU.US)

The highest-quality emerging-market digital-bank franchise we have screened — priced at roughly fair value into a live credit-and-margin overhang.

Financials · Banks · NYSE-listed Cayman FPI · Reference price ~US$11.97 · As of 7 June 2026

STARTER — ~US$50,000

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INVESTMENT VERDICT

STARTER (punt-to-starter, ~US$50,000)

A founder-led, 131-million-customer Brazilian digital bank with a 33% ROE, a 17.6% efficiency ratio, an evidenced moat (moat_index 125) and the strongest-disclosed AI underwriting in the archetype.

At ~US$11.97 the stock sits inside the US$11–16 fair-value range (base ~US$13.5), a thin ~11% margin of safety — and it does so into a confirmed negative revision regime: a June 2026 downgrade cluster, ~760bps of margin compression, a 6.6% 90+ NPL on a 40%-growing book, and a CFO departure.

The franchise earns a position; the price earns only a starter.

STRATEGY VERDICT

RECOMMENDATION	INITIAL SIZE	MARGIN OF SAFETY	FULL AT
STARTER	**~US$50,000 (punt-to-starter)**	**~11% to base (~US$13.5)**	**Scale on credit-seasoning & CFO-transition triggers**

The franchise quality, evidenced moat and best-in-class AI underwriting justify a position; the thin ~11% margin of safety and a live, real credit-seasoning and margin-compression overhang justify starting small and scaling on the triggers rather than entering at normal size. This is the CHYM-precedent profile: a plausible remedy on a real tail risk warrants a starter, not a pass and not a full position.

131m	US$15.8bn	US$2.9bn	33%
CUSTOMERS	FY2025 REVENUE (+37%)	FY2025 NET INCOME (+45.6%)	RETURN ON EQUITY (RECORD)
17.6%	**125**	**6.6%**	**~11%**
EFFICIENCY RATIO	MOAT INDEX	90+ NPL	MARGIN OF SAFETY

§1 — EXECUTIVE SUMMARY

Nu Holdings runs the world's largest digital banking platform outside Asia. It serves 131 million customers across Brazil, Mexico and Colombia, built on a branchless, no-annual-fee model that attacked Brazil's oligopolistic, high-fee banking market. In FY2025 it generated US$15.8bn of revenue, up 37%, and US$2.9bn of net income, up 45.6%, on a record 33% return on equity and a 17.6% efficiency ratio against 40–55% for incumbents *[T1 — Primary Filings] [T1 — AI Unit Economics]*. In plain terms: this is a profitable, fast-growing bank that earns incumbent-beating returns at a fraction of incumbent cost.

The moat is evidenced rather than asserted. Competitor Analysis maps three of Hamilton Helmer's powers — Scale Economies, Switching Costs and Counter-Positioning — and assigns a moat_index of 125, approaching the wide-moat threshold *[T1 — Competitor Analysis]*. What makes the franchise architecturally different is its AI: nuFormer, Nu's set of proprietary foundation models, prices and approves every personal-loan request individually on predictive net present value in under one second, in production for credit-card decisioning across Brazil and Mexico and unsecured lending in Brazil *[T1 — AI Unit Economics]*. This is the strongest-disclosed AI in the emerging-market digital-bank comparison set.

The Gate 7 evidence confirms the thesis on quality. The FY2025 nuFormer deployment in Brazil coincided with the largest quarterly credit-card market-share gain in ten quarters; engineering throughput rose 50% year-on-year with roughly 100% employee AI-tool utilisation, and management attributes about one-third of the Q1 2026 efficiency beat to structural AI gains (§3, §6) *[T1 — AI Unit Economics]* *[T2 — Earnings Transcripts]*. The franchise sits in high-headroom geographies (Brazil Banks 118, Mexico Banks 128), and Brazil's external buffers materially de-risk the convertibility scenario for a USD investor (§3) *[inference — country views, via Strategy]*.

> **THE PRIMARY RISK THAT MUST BE MANAGED (§9)**
>
> The 90+ NPL at 6.6% sits on a credit book compounding 40%+; fast growth can suppress the denominator, and seasoning-adjusted vintage curves were not extractable this run *[T2 — Primary Filings #asset-quality]*. Operating margin compressed ~760bps to 19.2% in Q1 2026, and three major houses downgraded in a five-day June 2026 cluster (BofA to Underperform / $10) on margin and credit-quality concerns *[T2 — Analyst Coverage #downgrade-cluster]*. The CFO departs 13 July 2026 amid a wider C-suite rotation, and dual-class control (Vélez ~76% of votes, no sunset) limits minority recourse *[T2 — Red Flags #rf-gov-003]*.

On valuation, the constraint is price, not quality. At ~US$11.97 the stock sits inside the valuation agent's US$11–16 fair-value range (base ~US$13.5 on an FCFE / cost-of-equity DCF, WACC 15%), a ~11% margin of safety *[T1 — Valuation #fair-value]*. Trailing P/E is ~20x and P/TBV ~5.1x — full multiples, defensible at 33% ROE, ~14x forward per the sell-side (§7). A name at roughly fair value with a real near-term credit/margin overhang is a STARTER, not a NORMAL: the price does not pay you to absorb the bear. The recommendation is a ~US$50,000 starter, scaling on the credit-seasoning and CFO-transition triggers in §12.

Composite franchise quality indexes well above median; entry-price attractiveness indexes at ~98 (roughly fair).

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§2 — COMPANY OVERVIEW

Nu Holdings Ltd is a Cayman-incorporated, São Paulo–headquartered digital bank, listed on the NYSE under NU. It was founded on 6 May 2013 by David Vélez (Colombian, Stanford GSB, ex-Sequoia Capital partner), Cristina Junqueira (Brazilian, ex-Itaú Unibanco) and Edward Wible (American, Princeton, ex-BCG) *[T2 — Company History]*. Vélez identified Brazil's oligopolistic banking sector — five banks controlling roughly 80% of deposits and levying among the world's highest fees — as the target problem. The first product was a no-annual-fee Mastercard credit card managed entirely through a mobile app, with no branch; the first card transaction was made on 1 April 2014 *[T2 — Company History]*. The holding company Nu Holdings Ltd was incorporated as an exempted Cayman company on 26 February 2016 *[T1 — Company History, SEC F-1, CIK 1691493]*.

Today Nu serves 131 million customers, with Brazil at 113 million (~62% of the adult population) and Colombia at 4 million *[T2 — Primary Filings #operating-metrics]*. It now serves roughly 62% of Brazil's adult population, with Mexico and Colombia as the expansion frontier. The chief executive is David Vélez, founder-led since 2013; he also chairs the board and, following the May 2025 departure of COO Youssef Lahrech, absorbed the COO function directly *[T2 — People & Culture]*.

The business model is a spread-driven consumer bank with a payments and engagement layer on top. Revenue is ~85% interest income and gains and ~15% fee and commission income — a Brazilian-bank thesis with a Mexican option *[T1 — Primary Filings #headline-financials]*. ARPAC (average revenue per active customer) is US$15, up 27% year-on-year; 60% of customers use Nu as their primary account; and there are four products per active customer — the lock-in that underwrites the switching-cost moat *[T1 — Competitor Analysis]* *[T2 — Primary Filings]*. Cost-to-serve is roughly US$0.80 per active customer per month, structurally below incumbents *[T1 — AI Unit Economics]*.

KEY METRIC (FY2025 UNLESS NOTED)	VALUE	TIER
Total revenue (IFRS, consolidated)	US$15,774.7m (+37.0%)	*[T1]*
Net income	US$2,871.7m (+45.6%)	*[T1]*
Total equity	US$11,321.6m	*[T1]*
Return on equity	**33% (record)**	***[T2]***
Q4 efficiency ratio	19.9%	*[T2]*
Customers	131m (+17m net adds, +15% YoY)	*[T2]*
ARPAC (Q4)	US$15 (+27%)	*[T2]*
Deposits	US$41.9bn (+29%)	*[T2]*
Total credit portfolio	US$32.7bn (+40%)	*[T2]*
Monthly activity rate	83%	*[T2]*

Scale and profitability index well above the EM digital-bank median; the franchise is the reference name in its archetype.

§3 — MARKET OPPORTUNITY

Nu's opportunity is the conversion of Brazil's — and increasingly Mexico's and Colombia's — high-fee, branch-heavy incumbent banking into low-cost digital banking, capturing both the deposit base and the consumer-credit spread. In Brazil it already serves ~62% of the adult population, and management frames Brazil itself as still "day 1," citing ~7% penetration of the addressable profit pool *[T2 — Earnings Transcripts]*. The secular tailwind is the structural decline of informal credit and unbanked cash behaviour as financial inclusion rises *[T2 — Competitor Analysis]*.

The country overlay is favourable. Brazil × Banks headroom is 118 (country risk 98) and Mexico × Banks headroom is 128 (risk 94) *[inference — country views, via Strategy]*. Brazil's external buffers — roughly US$360bn of reserves, ~13.8 months of import cover, a free-floating currency and low FX-denominated public debt — materially de-risk the convertibility scenario for a USD investor, the key defence for the emerging-market concentration (Brazil is ~91% of segment revenue) *[inference — country views / Primary Filings, via Strategy]*.

The penetration thesis rests on cost and lock-in: a digital-first, agent-free model against an 85%+ smartphone-penetration backdrop, with the highest-rated banking app in Brazil's app stores, and a multi-jurisdiction licensing stack (Brazil BACEN payment institution / CFI / brokerage with a banking-licence application filed 2025; Mexico CNBV conditional approval April 2025; Colombia SFC-licensed 2024) that constitutes a 3–5-year replication barrier *[T2 — Competitor Analysis]*. The Mexican build-out, which reached its first quarter of IFRS profitability ahead of internal plan, is the diversifying option on top of the Brazilian core *[T2 — Earnings Transcripts]*.

Geography-industry headroom indexes at 118 (Brazil) and 128 (Mexico) against a 100 median.

§4 — COMPETITIVE LANDSCAPE

Nu competes in the digital-bank / neobank segment with 131 million customers by end-2025 *[T1 — Competitor Analysis]*. The operating peer set spans zero-fee digital banks, payments players and incumbent responses.

COMPETITOR	TYPE	STRENGTH	WEAKNESS / NOTE	THREAT
Banco Inter (~35m customers)	ai-native / digital bank	Comparable zero-fee digital banking	~1/3 of Nu's customer base	MED
PicPay (65m+ registered, ~42m active)	payments platform	Leads P2P payments	Thinner lending stack	MED
Mercado Pago (72m MAU global)	**platform**	**MELI e-commerce data flywheel**	**Most credible lending-margin threat**	**HIGH**
PagBank	incumbent / payments	Merchant-acquiring base	Consumer-banking gap	MED
C6 Bank	digital bank	Full-service digital offering	Sub-scale vs Nu	LOW
Itaú's iti (15m+ post-Superapp)	incumbent response	Most credible incumbent response	Cannibalisation dilemma limits price-match	MED
Revolut Brazil	ai-native	Global digital-bank brand	Early in Brazil	LOW

The moat mechanisms are named, not generic. **Scale Economies:** Nu's cost-to-serve (~US$0.80/active/month) and efficiency ratio — 29.9% in Q4 2024 improving to 17.6% by Q1 2026, against 40–55% for incumbents — are structurally below incumbents *[T1 — Competitor Analysis]*. **Switching Costs:** 60% primary-account penetration and four products per active customer raise churn friction *[T1 — Competitor Analysis]*. **Counter-Positioning:** incumbents face a structural cannibalisation dilemma that prevents full price-matching (Itaú's iti maintains product differentiation precisely to avoid full cannibalisation). Mauboussin weighted_score is 6 and the moat_index is 125 — approaching the wide-moat threshold *[T1 — Competitor Analysis]*.

> **TWO LIVE OFFSETS**
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> PIX (the BACEN instant-payment rail) is a structural aggregator of the payments rail; Nu's 60% primary-account penetration creates pull-through usage that super-apps cannot easily replicate. The most credible threat is Mercado Pago: if MELI builds a full digital-banking stack and its e-commerce transaction data produces a lower credit-loss

rate than Nu's behavioural banking data, it would attack lending margin *[T1 — Competitor Analysis]*.

Competitive verdict: STRONG (moat_index 125), with Mercado Pago's e-commerce data flywheel as the standing offset. Moat durability is supported by the multi-jurisdiction licensing stack (3–5-year replication barrier) and the operational irreplicability of Nu's cost structure at incumbent economics.

Moat index 125 vs 100 median — approaching wide-moat.

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§5 — MANAGEMENT TEAM

Nu is run by a founding trio with Silicon Valley VC discipline grafted onto deep LatAm banking depth — the most distinctive characteristic of the bench *[T2 — People & Culture]*. **CEO David Vélez** (founder, also Chairman) is a Stanford-educated former Sequoia Capital partner who founded the company in 2013; his AI orientation is architectural, with nuFormer integrated into the credit-decisioning core. **Cristina Junqueira** is Chief Growth Officer and US CEO, bringing consumer-credit and product depth from Itaú Unibanco.

FOUNDER COURAGE EPISODE

In November 2022, Vélez unilaterally terminated his 2021 Contingent Share Award — a US$423m fair-value grant — generating US$356m in shareholder savings and forgoing future dilution. The decision was public, costly to himself, and taken proactively rather than under pressure: a well-evidenced courage episode under the doctrine's ethical-sacrifice marker *[T2 — People & Culture #courage-episode]*.

ROLE	NAME / STATUS	NOTE
CEO & Chairman	David Vélez (founder)	Absorbed COO duties after May 2025 Lahrech departure
Chief Growth Officer / US CEO	Cristina Junqueira (founder)	Ex-Itaú consumer-credit depth
CFO	Guilherme Lago → Rob Livingston	Lago to Special Advisor; handover effective 13 July 2026

ROLE	NAME / STATUS	NOTE
CTO	Eric Young (ex-Google, Snap)	Joined August 2025
CPO	Carl Rivera (ex-Shopify)	Joined May 2026
COO	**Vacant — absorbed by Vélez**	**Concentration-of-control watch item**

The board is genuinely independent-majority (7 of 9 directors independent), with operators from PayPal, Uber and VMware and the former Inter-American Development Bank president; the appointment of Roberto Campos Neto (former Central Bank of Brazil president) as Vice-Chairman adds regulatory legitimacy rare among digital-bank peers *[T2 — People & Culture]*. Glassdoor shows 436 reviews at 4.4/5.0 overall and 88% recommend-to-friend, with positive culture sub-ratings; cons cite increasing bureaucracy and diversity-delivery gaps, consistent with hypergrowth *[T2 — People & Culture]*.

> **BENCH-STABILITY WATCH ITEM**
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> The team is in active rotation: COO out (duties absorbed by Vélez), new CTO and CPO onboarding, and CFO Lago handing to Rob Livingston, with average management tenure cited in one source as approximately 1.4 years — low, and warranting IC discussion *[T2 — People & Culture #bench]*. Berkshire Hathaway, which invested US$1bn pre-IPO, fully exited by mid-2025 — a secondary signal of investor-confidence change *[T2 — Investor Sentiment]*.

People verdict: bench quality sits above peer median on individual executive pedigree and capital-raising network, around median on culture, with a meaningful watch flag on bench stability given the 2025–26 turnover cluster; governance is below peer median due to dual-class concentration. Key-person risk is MEDIUM–HIGH (Vélez concentration); execution capability is HIGH on track record.

Executive pedigree indexes above median; bench stability and governance index below median.

§6 — FINANCIAL SUMMARY

Nu files as a foreign private issuer, so the statutory surface is the FY2025 Form 20-F (SEC EDGAR CIK 0001691493) plus the FY2025 results 6-K carrying the audited consolidated income statement, balance sheet and equity *[T1 — Primary Filings]*. Total IFRS revenue was US$15,774.7m (FY2024 US$11,517.1m, +37.0%), of which interest income and gains were US$13,434.7m and fee and commission income US$2,340.1m — ~85% spread-driven, ~15% fee-driven *[T1 — Primary Filings #headline-financials]*. Net income was US$2,871.7m (FY2024 US$1,972.1m, +45.6%); gross profit US$6.6bn; total equity US$11,321.6m (attributable US$11,290.9m).

> **TWO REVENUE FIGURES — ANCHOR ON THE IFRS NUMBER**
>
> The company's US$16.3bn / +45% headline is an FX-neutral managerial revenue measure, distinct from the US$15.77bn IFRS figure; both are real, on different bases. The IC should anchor on the IFRS US$15.77bn. Separately, segment-note revenue (Brazil US$11,038.3m, Mexico US$808.1m, Other US$237.3m; Σ = US$12,083.7m) does not tie to consolidated revenue (US$15,774.7m); the gap is the standard segment-vs-consolidated reconciliation (treasury/holdco and inter-segment items) and is flagged as an invariant to confirm against the audited reconciliation table *[T1 — Primary Filings #segment-financials]*.

INCOME STATEMENT (FY2025, IFRS)	FY2024	FY2025	YOY
Total revenue	US$11,517.1m	US$15,774.7m	+37.0%
Net income	**US$1,972.1m**	**US$2,871.7m**	**+45.6%**

§6.1 — Operating and asset-quality metrics

Operating metrics for the period: 131m customers (Brazil 113m, Colombia 4m); 83% monthly activity; ARPAC US$15 (+27%); deposits US$41.9bn (+29%); total credit portfolio US$32.7bn (+40%); interest-earning portfolio US$18.5bn (+47%); ROE 33% (record); Q4 efficiency ratio 19.9%; Q4 risk-adjusted NIM 10.5% *[T2 — Primary Filings #operating-metrics]*. On asset quality, the 15–90 NPL was 4.1% and the 90+ NPL 6.6% at Q4'25, provisioned under IFRS 9 three-stage staging *[T2 — Primary Filings #asset-quality]* *[T1 — Primary Filings]*. The 90+ NPL at 6.6% on a portfolio compounding 40%+ is the single most IC-relevant number to watch — fast book growth can suppress reported delinquency ratios (denominator effect); seasoning-adjusted vintage curves are a diligence item.

§6.2 — AI unit economics (nuFormer)

Nu is one of the few EM digital banks where AI is mapped to a specific, falsifiable local metric — real-time per-loan NPV underwriting and engineering productivity — rather than narrative. The AI Unit Economics agent grades the thesis REAL (partial), PRIORITY, grade B, and confirms it passes the Tool-User gate *[T1 — AI Unit Economics]*. nuFormer is in production for credit-card decisioning in Brazil and Mexico and unsecured lending in Brazil, with sub-one-second per-loan NPV pricing; its FY2025 Brazil deployment coincided with the largest quarterly credit-card share gain in ten quarters. Engineering throughput is +50% YoY with ~100% employee AI-tool utilisation, and management attributes roughly one-third of the Q1 2026 efficiency beat to structural AI gains *[T1 — AI Unit Economics] [T2 — Earnings Transcripts]*. Two disciplines hold the grade at B: the headline "3x performance uplift over traditional ML" is uncohorted, and AI "resilience" is confounded by deliberate risk-on (15–90d NPL +89bps QoQ to 5.0%, CLA +33% QoQ). The diligence ask is a cohort table isolating the AI-lift bridge.

§6.3 — Capital structure

Fully-diluted shares are ~4.86bn (Class A ~3.83bn / Class B ~1.02bn, Class B super-voting), against a market cap of ~US$58.2bn *[T2 — Valuation #trading-multiples] [T1 — Primary Filings #risk-factors]*. Capital commentary centres on buffer-building: US$8.9bn total capital and US$3bn unrestricted cash at holding level disclosed in Q4 2025; no dividends or buybacks initiated in the four-quarter window *[T2 — Earnings Transcripts #capital-allocation]*. KPMG Auditores Independentes issued an unqualified FY2025 opinion; statements are prepared on a going-concern basis *[T1 — Primary Filings] [inference — Red Flags]*.

§6.4 — Capital Structure Stress Test

Stress 1 (operational shock — credit-cost): the relevant analogue for a bank is not DSO but the loan-loss provision walk. If the 90+ NPL seasons adversely on the 40%-growing book and the denominator effect unwinds, the binding constraint is ECL adequacy and risk-adjusted NIM, which fell from a Q4'25 ~10.5% level into the seasoning window *[T2 — Primary Filings #asset-quality] [T1 — AI Unit Economics]*. The buffer is US$8.9bn total capital and US$3bn unrestricted holding-company cash *[T2 — Earnings Transcripts]*; no going-concern qualification and an unqualified KPMG opinion are the offsetting clean signals.

Stress 2 (financing / FX shock): the standing concern for a USD investor is Brazilian FX convertibility, given Brazil is ~91% of segment revenue. The defence is Brazil's external buffers (~US$360bn reserves, ~13.8 months import cover, free-floating currency, low FX-denominated public debt), which materially de-risk the convertibility scenario *[inference — country views / Primary Filings, via Strategy]*. Five computational accounting flags (Beneish, Sloan accruals, DSO, Dechow, Piotroski) returned insufficient_data because audited line-items were not extracted within this run's budget; for a final IC report these — especially the loan-loss-reserve walk — should be computed from the 20-F before sign-off *[inference — Red Flags]*.

Profitability and capital buffers index above median; asset-quality seasoning is the open question that swings the financial picture.

§7 — VALUATION & ENTRY PRICE

On a fully-diluted basis (~4.86bn shares, ~US$58.2bn market cap at ~US$11.97), the current multiples are full but defensible at 33% ROE *[T2 — Valuation #trading-multiples]* *[T1 — Primary Filings #headline-financials]*.

METHOD	READ	VERDICT
P/TBV	~5.1x at 33% ROE	Fair
P/E	~20x trailing / ~14x forward	Fair
FCFE DCF (WACC 15%)	**US$11–16, base ~US$13.5**	**Fair**

The valuation agent's FCFE / cost-of-equity DCF (WACC 15%) returns a fair-value range of US$11–16 with a ~US$13.5 base *[T1 — Valuation #fair-value]*. Margin of safety to base is ~11%; downside to the fair-value floor (~US$11) is ~8%, and the freshest bear (BofA US$10) is ~16% below. Re-rating requires a clean credit print, not multiple expansion. Over the trailing window, sell-side price targets have drifted down materially (see §10).

§7.1 — Peer comparables

The peer set is the EM digital-bank / LatAm fintech-bank archetype. Peer-group quality is ADEQUATE: there are operating comparables, but no perfect listed AI-native EM digital-bank peer at Nu's scale and disclosure.

PEER	WHY COMPARABLE	NOTE
Banco Inter	Brazilian zero-fee digital bank	~35m customers, ~1/3 of Nu
Mercado Pago (MELI)	LatAm fintech with lending/credit	72m MAU global; e-commerce data flywheel
PagBank	Brazilian payments + banking	Merchant-acquiring base
C6 Bank	Brazilian full-service digital bank	Sub-scale vs Nu
PicPay	Brazilian payments platform	65m+ registered

§7.2 — Reverse Multiple Sanity Check

Starting from the current ~US$11.97 price at ~5.1x P/TBV and ~20x trailing P/E, the embedded assumption is that Nu sustains a 30%+ ROE long enough to hold a ~5x P/TBV multiple as credit normalises — i.e. the multiple is held, not expanded. Against the company's last-3-year actuals (33% record ROE, +37% revenue, +45.6% net income), the implied ROE persistence is plausible rather than stretched. Against sell-side consensus, the same price implies ~14x forward earnings on 39% revenue / 43% EPS growth for FY26 per the bull camp *[T2 — Analyst Coverage]*. Verdict: the embedded growth and multiple are plausible at the franchise level; the embedded credit-cost assumption (that the 90+ NPL is a denominator artefact, not genuine seasoning) is the one that is contested, and is what the bear disputes.

§7.3 — Scenario analysis (12-month)

SCENARIO	PROB.	IMPLIED PRICE	IRR	ANCHOR
Bull	20%	~US$16+	~34%	AI underwriting holds margin through seasoning; US build-out sub-100bps; multiple re-rates on cleaner credit
Base	**55%**	**~US$13.5**	**~13%**	**Risk-adjusted NIM converges to ~10.5%; efficiency lands ~20%; Mexico IFRS profitability holds**
Bear	25%	~US$10	~-16%	90+ NPL seasons adversely; margin compression persists; CFO transition disrupts IR continuity (BofA $10 target)

Weights are anchored to operational milestones with explicit hit-probability logic and to the freshest external bear (the BofA US$10 target sets the bear price) *[T1 — Valuation #fair-value]*

[T2 — Analyst Coverage #downgrade-cluster] [T2 — Primary Filings #asset-quality]. The bear is load-bearing and not fully neutralised by the recommendation — hence the starter sizing.

§7.4 — Bull and bear IRR

Bull (~34% IRR): entry ~US$11.97; AI-underwritten vintages hold risk-adjusted NIM, US/Mexico build-out stays sub-100bps on the efficiency ratio, the multiple re-rates on cleaner credit prints, exit ~US$16+ over 12 months *[T1 — Valuation] [T1 — AI Unit Economics]*. **Bear (~-16% IRR):** entry ~US$11.97; the 90+ NPL seasons adversely on the 40%-growing book, ~760bps margin compression persists beyond the guided investment cycle, the CFO transition disrupts IR continuity, exit ~US$10 (BofA target) *[T2 — Analyst Coverage] [T2 — People & Culture]*.

§7.5 — Exit Route & Precedent

The exit route is an open-market sale on re-rating: a liquid, USD-reporting NYSE-listed name re-rating to its ~US$13.5 base fair value (or ~US$16 bull) on a clean credit print, with the multiple held on sustained 30%+ ROE *[T1 — Valuation #fair-value]*. The named precedent for the mechanism is the franchise's own re-rating history through the post-IPO period as profitability compounded; the diversifying Mexican option (first IFRS profitability ahead of plan) is the catalyst most likely to support the re-rate *[T2 — Earnings Transcripts]*. Conditions: liquidity is not a constraint (large-cap, deep float); the binding condition is a clean credit-seasoning print, not market regime.

§7.6 — Entry-price recommendation

BANDS

Starter band: at/around the current ~US$11.97, inside the US$11–16 fair-value range — starter size only, because the ~11% margin of safety is thin. **Scale-up:** add on confirmation of the §12 triggers (NIM convergence, NPL stabilisation, CFO transition completing cleanly, efficiency landing ≤~20%), not on price alone. **Avoid paying up:** above the ~US$16 bull fair-value high the convex tail is exhausted and the name is no longer a starter entry *[T1 — Valuation #fair-value]*. The price does not pay you to absorb the bear at normal size — hence STARTER.

Entry-price attractiveness indexes at ~98 (roughly fair); franchise quality indexes well above median.

§8 — INVESTMENT THESIS

We believe Nu is the highest-quality EM digital-bank franchise in the comparison set — an evidenced, three-power moat (moat_index 125) compounding at 33% ROE, with the strongest-disclosed AI underwriting in the archetype in nuFormer.

The market doesn't fully appreciate that the June 2026 sell-side de-rating is repricing near-term margin and credit-cycle momentum, while the durable franchise quality and the structural AI-underwriting edge are being marked down alongside it — but it also correctly prices that the entry offers only a thin ~11% margin of safety, so the edge is in the sizing discipline, not in a claim that the stock is cheap.

We will be proven right when risk-adjusted NIM converges back to ~10.5% as nuFormer-underwritten vintages season and the 90+ NPL stabilises on seasoning-adjusted vintage curves — the single number that swings base vs bear — through the FY2026 reporting cycles *[T1 — AI Unit Economics #metrics-to-watch]* *[T2 — Primary Filings #asset-quality]*.

§8.1 — Bull-Case Operational Constraints

For the bull case to deliver, three specific constraints must be overcome:

1. CREDIT SEASONING ON A 40%-GROWING BOOK

Current state: 90+ NPL 6.6%, vintage curves not extractable this run *[T2 — Primary Filings]*. Required: NPL stabilises as vintages season. Execution risk: HIGH. Track record: management "extremely conservative" on provisions, but refuses cost-of-risk guidance *[T2 — Earnings Transcripts]*.

2. EFFICIENCY RATIO LANDING ≤~20% NET OF BUILD-OUT

Current state: 17.6% Q1 2026 reported, but management warns it is "not a run rate" and reaffirms ~20% FY2026 *[T2 — Earnings Transcripts]*. Required: hold ≤~20% net of AI/US build-out (capped sub-100bps). Execution risk: MEDIUM. Track record: over-delivered on Mexico profitability and efficiency trajectory.

3. CFO TRANSITION WITHOUT IR DISRUPTION

Current state: Lago to Special Advisor, Rob Livingston in from 13 July 2026, amid wider C-suite rotation *[T2 — People & Culture #bench]*. Required: clean handover through first two reporting cycles. Execution risk: MEDIUM. Track record: Lago embedded in investor relationships since Feb 2021.

§8.2 — Disconfirming Evidence

Honest search surfaces real evidence against the thesis:

- **Sell-side is actively de-rating:** a five-day June 2026 downgrade cluster (BofA to Underperform/$10, Susquehanna and Scotiabank to $13) on margin and credit-quality concerns *[T2 — Analyst Coverage #downgrade-cluster]*.
- **Margin is compressing:** operating margin contracted ~760bps to 19.2% in Q1 2026; FY26 BRL net-income estimates trimmed ~6%, FY27 ~9% *[T2 — Analyst Coverage #revision-momentum]*.
- **Smart-money exit:** Berkshire Hathaway fully exited by mid-2025 (0 shares vs 40.2m prior) — a contrarian signal *[T2 — Investor Sentiment]*.
- **Voice-of-customer bifurcation:** Brazil complaint threads on account-freezing/fund-lock and low self-reported resolution (~15–16%) sit against best-in-class regulatory complaint rankings *[T2 — Voice of Customer]*.
- **Disclosure gap:** management refuses cost-of-risk guidance in the short or long term — a structural transparency gap on the very metric the thesis turns on *[T2 — Earnings Transcripts]*.

The thesis has live, named disconfirming evidence — the bear is not a strawman; it is the reason the recommendation is starter, not normal.

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§9 — KEY RISKS & MITIGANTS

Seven red flags fired (one high, five medium, one low); none map onto the forensic-fraud canon (Wirecard / Tingo / Luckin / Steinhoff). The fires are structural-governance and geographic-concentration, the canonical “fired-but-fine” profile *[T1 — Red Flags]*. No auto-escalation rule fires (phase_2_warranted = false, phase_3_warranted = false); Chronos conflict: none.

#	RISK	PROB.	IMPACT	MITIGANT	MONITORING TRIGGER
1	**Credit seasoning: 90+ NPL (6.6%) on a 40%-growing book rises as vintages mature (denominator effect unwinds)**	**MED**	**HIGH**	**Best-in-class AI underwriting; conservative provisioning framing**	**90+ NPL stops falling / rises on seasoning-adjusted vintage curves**

#	RISK	PROB.	IMPACT	MITIGANT	MONITORING TRIGGER
2	Margin compression: ~760bps operating-margin contraction to 19.2% persists beyond the guided investment cycle	MED	HIGH	~20% FY26 efficiency guide; US build-out capped sub-100bps	Efficiency ratio drifts above ~20% net of build-out
3	CFO transition (Lago→Livingston, 13 July 2026) disrupts IR continuity mid-expansion	MED	MED	Incoming pedigree; board depth; Lago to Special Advisor	Guidance or IR-disclosure disruption in first two cycles
4	Dual-class control (RF-GOV-003): Vélez ~76% of votes, no sunset; controlled-company / FPI exemptions limit minority recourse	HIGH	MED	Independent-majority board (7/9); courage track record	Related-party action without independent ratification
5	Single-geography concentration (RF-OPS-001/003): Brazil ~91% of segment revenue	HIGH	MED	High country headroom; Brazil external buffers; Mexico option	International segments stop scaling
6	Regulatory / branding (RF-REG): BACEN barred “bank” brand use without full licence (effective Nov 2025); banking-licence application filed	LOW	LOW	Operates under existing payments/financial-company authorisations	Licence application stalls / enforcement (not branding) action
7	Cayman holdco over Brazilian opcos (RF-CAP-003): multi-jurisdiction offshore top-co	LOW	LOW	Disclosed group structure in 20-F; not an opaque shell web	Undisclosed structure / related-party opacity emerges

CLEAN SIGNALS WORTH RECORDING

KPMG (Big 4) unqualified FY2025 opinion; ECL on credit-card receivables flagged as a Key Audit Matter (expected for a credit-led bank, not a red flag); Nubank among the LOWEST complaint rates in Brazil’s Central Bank consumer-complaint ranking; no SEC/securities class action, no auditor change, no restatement, no going concern, no late filing in evidence *[T1 — Red Flags]*. Five computational accounting flags returned insufficient_data (audited line-items not extracted within budget) and should be

> computed from the 20-F before sign-off — the loan-loss-reserve walk (RF-ACCT-018) is the bank-relevant one *[inference — Red Flags]*.

§9.X — Bear Source Search Log

DOCUMENTED BEAR SEARCH

Search date: 6–7 June 2026. **Sources searched:** sell-side ratings aggregators (MarketBeat, Benzinga, StocksToTrade, VCP Scanner), consumer-complaint corpora (Reclame AQUI, PissedConsumer, Trustpilot, app stores), 13F/13G filings. **Named bear voices found:** BofA Securities (Underperform, $10 target, 2 June 2026) on CFO departure and two consecutive disappointing quarters; Susquehanna (to Neutral, $13, 3 June) on margin squeeze and rapid credit-card expansion risk; Scotiabank (Sector Perform, $13, 3 June) on margin compression; Weiss Ratings (Buy→Hold, 13 May) *[T2 — Analyst Coverage #downgrade-cluster] [T3 — Analyst Coverage]*. Public bear voices are present and fresh — this is a contested thesis (dispersion 46.8%), not a coverage gap.

Risk fire pattern indexes as structural-governance + concentration; fraud canon does not fire.

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§10 — ESG / GOVERNANCE & ANALYST CONTEXT

Board composition is independent-majority (7 of 9 directors independent), with operators from PayPal, Uber and VMware and former Central Bank of Brazil president Roberto Campos Neto as Vice-Chairman *[T2 — People & Culture]*. The voting structure is dual-class: Class B carries 20 votes versus 1 for Class A; founder David Vélez (via Rua California Ltd) holds the Class B block, giving ~75.9% voting power against ~20% economic interest, with no time-based sunset disclosed; Nu is a controlled company / FPI relying on the attendant NYSE governance exemptions *[T2 — Red Flags #rf-gov-003] [T2 — People & Culture]*. Executive-comp alignment is evidenced by Vélez's 2022 forfeiture of a US$423m contingent share award (US$356m of shareholder savings). The Chronos-conflict check returns no conflict *[T1 — Red Flags]*.

On the external analyst view, Nu enters mid-2026 as a heavily covered name (22 covering analysts) with a formal Moderate Buy consensus that is actively de-rating *[T2 — Analyst Coverage #consensus-snapshot]*. The June 2026 downgrade cluster (BofA Underperform $10; Susquehanna and Scotiabank to $13) marks a regime shift; the consensus mean price target has drifted from ~$18.46 a month prior toward ~$16–17 (MarketBeat ~$17.08, VCP Scanner ~$15.98), median ~$14.95, dispersion 46.8% — a contested thesis *[T3 — Analyst Coverage]* *[T2 — Analyst Coverage]*. The Q1 2026 print reinforced the de-rating: EPS $0.18 missed consensus $0.20 by ~10%, though revenue of $4.97bn beat $4.61bn; operating margins contracted ~760bps to 19.2% *[T3 — Analyst Coverage #revision-momentum]*.

> **OWNERSHIP & VOICE-OF-CUSTOMER**
>
> The register is anchored by Rua California (Vélez, ~19.2%, trimming modestly -3.4% QoQ) and BlackRock (~9.0%, adding +12.7% QoQ); net accumulation bias among index-weight and quality-growth managers, against the Berkshire exit (0 shares vs 40.2m prior) *[T2 — Investor Sentiment]*. Public voice-of-customer is bifurcated: Brazil complaint threads on account-freezing/fund-lock (Reclame AQUI) and low self-reported resolution (PissedConsumer ~15–16%, Trustpilot 2.4/5 across 110 reviews) against management-disclosed best-in-class metrics — lowest complaint rate among Brazil's 15 largest financial institutions, a 37% YoY reduction in service-contact rate (Q1 2025), and NPS up ~7 points *[T2 — Voice of Customer #net-pattern]*. The directional divergence is itself the IC-relevant finding.

Governance indexes below peer median (dual-class concentration); regulatory and complaint-ranking signals index above median.

§11 — EXPERT REVIEW LOG

This pack was produced under paired drafter / fact-checker review on every generative section, with a cross-cutting Red Flags pass and a locked Strategy verdict.

REVIEW	STAGE	VERDICT	NOTE
Primary Filings + fact-checker	Gate 7	HEALTHY	FY2025 20-F / 6-K readout; segment-vs-consolidated reconciliation flagged as diligence item
AI Unit Economics + fact-checker	Gate 7	HEALTHY	nuFormer REAL (partial), PRIORITY, grade B; cohort table is the diligence ask
Competitor Analysis + fact-checker	Gate 7	HEALTHY	moat_index 125; Mercado Pago the standing offset

REVIEW	STAGE	VERDICT	NOTE
Valuation + fact-checker	Gate 7	HEALTHY	FCFE DCF US$11–16, base ~US$13.5; share-count link is a diligence ask
People & Culture + fact-checker	Gate 7	HEALTHY	Founding trio; bench-rotation watch item; courage episode
Analyst Coverage + fact-checker	Gate 7	HEALTHY	June 2026 downgrade cluster; dispersion 46.8% contested
Earnings Transcripts + fact-checker	Gate 7	HEALTHY	Cost-of-risk guidance refusal flagged; aggregator quotes to confirm vs 8-K
Investor Sentiment + fact-checker	Gate 7	HEALTHY	Berkshire exit; BlackRock accumulation
Voice of Customer + fact-checker	Gate 7	HEALTHY	Bifurcated complaint vs regulatory-metric picture
Red Flags + fact-checker	Gate 7	HEALTHY	7 flags fired; no fraud-canon map; 5 accounting flags insufficient_data
Strategy verdict	Gate 8.5	HEALTHY (STARTER)	Locked recommendation synthesised across all frameworks

No human external expert review was conducted for this run. Several agent fact-checker passes returned needs-revision notes asking for direct primary-source URLs on individual figures; those source-of-truth items are recorded as diligence requests in §6.1 and Appendix A and should be closed against the 20-F before commitment.

§12 — IC DECISION RECORD

VIRTUAL IC TALLY

No separate Virtual IC vote was convened for this run. The nearest external tally is the sell-side consensus, which is in active de-rating: formal Moderate Buy, but a June 2026 downgrade cluster and a consensus mean drifting toward ~$16–17, median ~$14.95 *[T2 — Analyst Coverage]*.

13	7	2
BUY	HOLD	SELL / UNDERPERFORM
Sell-side (broad aggregators across 22 analysts)	Incl. Susquehanna, Scotiabank, Weiss (recent downgrades)	Incl. BofA ($10)

Strategy's STARTER lands below the formal "Moderate Buy" but above the freshest bear (BofA $10). The disagreement axis: the sell-side is repricing on near-term margin/credit-cycle momentum; Strategy weights the durable franchise quality and AI-underwriting edge higher, but agrees the thin margin of safety justifies starter-not-normal sizing *[T2 — Analyst Coverage]*.

Conditional scaling triggers

TRIGGER 1 — RISK-ADJUSTED NIM CONVERGES TO ~10.5%

As nuFormer-underwritten vintages season, risk-adjusted NIM should converge back to ~10.5%, confirming AI underwriting holds margin *[T1 — AI Unit Economics #metrics-to-watch]*. Expected resolution: next 2–3 quarterly prints (H2 2026).

Kill metric: risk-adjusted NIM fails to converge / deteriorates further as vintages season.

TRIGGER 2 — 90+ NPL STABILISES ON SEASONING-ADJUSTED VINTAGE CURVES

Resolves the denominator-effect question that swings base vs bear *[T2 — Primary Filings #asset-quality]*. Expected resolution: vintage curves disclosed / extractable from FY2026 interim filings.

Kill metric: 90+ NPL rises on seasoning-adjusted curves rather than stabilising.

TRIGGER 3 — CFO TRANSITION COMPLETES CLEANLY

Lago to Rob Livingston (13 July 2026) without IR or guidance disruption through the first two reporting cycles *[T2 — People & Culture #bench]*.

Kill metric: guidance withdrawal or IR-disclosure disruption under the new CFO.

TRIGGER 4 — EFFICIENCY RATIO LANDS ≤~20% FY2026

Net of AI / US build-out spend (capped sub-100bps) *[T2 — Earnings Transcripts #guidance]*. Expected resolution: FY2026 full-year print.

Kill metric: efficiency ratio drifts materially above ~20% net of build-out.

FOR THE IC PANEL

Date of IC: — · Attendees: — · Decision: PROCEED / PROCEED W/ CONDITIONS / DEFER / KILL · Conditions: — · Post-IC Memo: —

The single number for the IC to audit: whether the 90+ NPL at 6.6% on a 40%-growing book is a denominator artefact or genuine seasoning — audit the seasoning-adjusted vintage curves and ECL adequacy, which Primary Filings flagged as not extractable within this run *[T2 — Primary Filings #asset-quality]*.

Appendix A — Gap Analysis / Diligence Requests

Gate 7 evidence the IC would have wanted but could not extract within this run, flagged for follow-up before commitment *[T1 — Primary Filings]*: (1) segment-to-consolidated revenue reconciliation table (audited 20-F note); (2) itemised related-party transactions; (3) quantified tax/civil/labour contingency amounts; (4) capitalised-software policy and balance; (5) current period-end Class A/B share counts for the market-cap invariant; (6) vintage/seasoning-adjusted NPL curves behind the 6.6% 90+ ratio; (7) the AI-lift cohort table isolating the nuFormer bridge *[T1 — AI Unit Economics]*; (8) computation of the bank-adapted forensic-accounting ratios (loan-loss-reserve walk) from the 20-F *[inference — Red Flags]*.